II ASSETS	
1. Non-current assets	
(a) Fixed assets	4,60,000
(b) Non-current investments	1,00,000
2. Current assets	
Cash and Cash equivalents	40,000
Total	**6,00,000**

(Answer: Proprietary ratio: 0.75:1)

6. From the following information calculate capital gearing ratio:

Balance Sheet (Extract) as on 31.03.2018

Particulars	Amount ₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
Equity share capital	4,00,000
5% Preference share capital	1,00,000
(b) Reserves and surplus	
General reserve	2,50,000
Surplus	1,50,000
2. Non-current liabilities	
Long-term borrowings (6% Debentures)	3,00,000
3. Current liabilities	
Trade payables	1,20,000
Provision for tax	30,000
Total	**13,50,000**

(Answer: Capital gearing ratio: 0.5:1)

7. From the following Balance Sheet of James Ltd. as on 31.03.2019 calculate

(i) Debt-equity ratio (ii) Proprietary ratio (iii) Capital gearing ratio

Balance Sheet of James Ltd. as on 31.03.2019

Particulars	Amount ₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
Equity share capital	2,50,000
6% Preference share capital	2,00,000
(b) Reserves and surplus	1,50,000
2. Non-current liabilities	
Long-term borrowings (8% Debentures)	3,00,000
3. Current liabilities	
Short-term borrowings from banks	2,00,000
Trade payables	1,00,000
Total	**12,00,000**

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